

HEADLINE JUDGMENT

Note: 16 Jun figures are intraday prints; 15 Jun is now a final close. Bloomberg's restated continuation series in force throughout. **Score HOLDS at 23/30 — a consolidation after the peace-deal repricing; no channel moved on the 15 Jun close. The deal is signed.** At the G7 in Evian on 15 Jun, Trump said "the deal's all signed" — he and VP Vance signed the MOU digitally — with a **formal signing ceremony set for Geneva on Friday 19 Jun**. But Iran's deputy FM Gharibabadi says Tehran will not implement until the formal signing, and Trump said the strait "wouldn't open until Friday" — so the toll-free reopening and blockade removal are **scheduled, not yet in effect**. **Markets consolidated:** Brent flat at \$82.21 (WTI \$79.45, just below \$80), yields little changed (30Y 4.98%, <5.00%), VIX down to 16.20 and MOVE 69.38 — both well below pre-war. The 11–15 Jun de-escalation repricing has paused pending implementation. The G7 welcomed the deal and urged swift, toll-free reopening; the UN concurs. 5Y5Y posted a second close above 2.20% (2.2169%), which on a pure-trigger basis would re-upgrade US-inflation to 5 — but with oil, gasoline and breakevens all easing, the impulse is easing not re-intensifying, so the channel **holds at 4** (the sticky 5Y5Y reflects long-run Fed-easing pricing). **The bias stays down but is paused:** the next steps — escalation →3 (formal Geneva signing + sustained calm), maritime →3 (traffic recovery), oil →2 (Brent close <\$80) — are all queued for Friday's implementation. Sequencing 28 (held three) → 26 → 23 → 23 (held).

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

16 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 15 Jun and earlier are final closes (restated continuation series). d/d deltas are 16 Jun intraday vs 15 Jun close; w/w deltas are vs 9 Jun close.

Benchmark	Intraday 16 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$82.21 /bbl	−\$0.03 (−\$7.69 w/w)	from \$72.48 (+13.4%) — holding ~\$82; risk premium ~\$10/bbl, the conflict low	CO1 Comdty
Brent · 15 Jun close (carried)	\$82.24 /bbl (= my \$82.47 intraday)	the crash paused just above \$80 as the reopening was deferred to Friday		CO1 Comdty (Close)
WTI front-month	\$79.45 /bbl	+\$0.01 (−\$7.13 w/w)	from \$67.02 (+18.5%) — hovering just below \$80	CL1 Comdty
Brent–WTI spread	\$2.76 /bbl	−\$0.47 d/d	steady	derived
Henry Hub natural gas	\$3.15 /MMBtu	flat (+\$0.01 w/w)	from \$3.06 (+2.7%) — near pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€43.26 /MWh	+€0.75 (−€5.49 w/w)	from €31.23 (+38.5%) — small bounce after a sharp weekly fall	TZTA Comdty
Japan/Asia LNG (15 Jun print)	¥2,808	−¥145 vs 12 Jun	from ¥1,669 (+68.2%) — finally rolling over toward the deal	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

16 Jun 2026 yields are intraday — final closes may differ. d/d deltas are 16 Jun intraday vs 15 Jun close; w/w deltas are vs 9 Jun close. The complex consolidated after the deal-driven rally.

Tenor	Yield (%) — intraday 16 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.07	+0.0	−5.2	+69 (from 3.37%) — Fed-hike repricing unwound	USGG2YR Index
5-year UST	4.19	+0.2	−5.3	+69 (from 3.50%)	USGG5YR Index
10-year UST	4.48	+0.4	−3.9	+54 (from 3.94%) — 17.3 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.98	+0.3	−1.5	+37 (from 4.61%) — below 5.00% (Treasury reverted 5→4 on 11 Jun)	USGG30YR Index
2s10s spread	+41 bp	+0.8	+1.2	−15 (curve normalizing)	USYC2Y10 Index
10Y breakeven inflation	2.33	+0.0	−1.2	+7 (from 2.26%)	USGGBE10 Index
5Y5Y forward inflation	2.22	+0.0	+1.4	+8 (from 2.14%) — 2nd close >2.20% (US-inflation held at 4; see §2.1)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	99.72	16 Jun intraday	+2.12 (from 97.61)	Flat (+0.09 d/d, -0.19 w/w) — the safe-haven bid has unwound. Still above pre-war; no Stage-4 dollar-break.
MOVE Index (bond vol)	69.38	15 Jun (lagged)	-4.00 (from 73.38)	Holding below pre-war (69.45→69.36→69.38) — bond-vol stress fully unwound; Treasury remains reverted at 4. Far below the 130 Stage-4 level.
VIX (equity vol)	16.20	15 Jun (lagged)	-3.66 (from 19.86)	Fell further to 16.20 — deep risk-on as the deal holds; the lowest of the conflict.
US gasoline retail avg	\$4.72 /gal	12 Jun (latest print)	+\$1.20 (from \$3.52, +34%)	Below the \$4.75 threshold (political-stress at 4); the ~15-session downtrend continues with crude.

Strait operational state

Indicator	Current reading	Source
MOU signed (15 Jun)	At the G7, Trump said "the deal's all signed"; he and VP Vance signed the MOU digitally. It ceases fighting on all fronts for 60 days and is expected to reopen Hormuz to all traffic.	NPR / ABC News
Formal signing — Geneva, Fri 19 Jun	A formal signing ceremony is set for Geneva on Friday; VP Vance expected to attend. The MOU text is to be released within ~24–48 hours / "after Friday."	ABC News / NPR
Implementation deferred	Iran's deputy FM Gharibabadi says Tehran will not implement until the deal is signed; Trump said the strait "wouldn't open until Friday." The reopening and blockade removal are authorized but not yet in effect.	PBS / AP
Vessel traffic vs pre-war norm	Still ~5% of the pre-conflict norm. Analysts: the strait may reopen quickly on the security side, but commercial shipping will normalize gradually (mines, insurance, re-routing).	Reuters / NBC
G7 (Evian, 15–16 Jun)	G7 leaders (UK, France, Germany, Italy) and von der Leyen welcomed the deal and called for the urgent, toll-free reopening of the strait and support for Lebanon; the UN called it a "critical step."	NPR / NBC
Residual risks	Nuclear negotiations (HEU disposition, sanctions) are the hard next phase; "significant work" remains. Netanyahu is seeking a post-G7 meeting with Trump.	ABC / NBC / CNN

2 · US economic shock — analysis with bond yields

The US economic shock holds at the bottom of **Stage 3** (23/30) in a consolidation: the deal is signed but implementation — the strait reopening, blockade removal — is deferred to Friday's formal Geneva signing, so the channels positioned to step down next did not move today. The risk premium has been largely removed from oil, rates and vol; what remains is structural (the strait is not yet physically open) and a sticky 5Y5Y. The bias is still down, but paused pending implementation. No Stage-4 signal; the dollar is flat, not breaking.

2.1 · Bond-yield transmission

16 Jun yields are intraday; d/d vs 15 Jun close, w/w vs 9 Jun. **Score 23/30 — held; no channel moved on the 15 Jun close.** The complex consolidated: 30Y 4.9815% (+0.3 bp, <5.00%), 10Y 4.4770% (+0.4 bp), 2Y 4.0663% (flat); Brent \$82.21 (-\$0.03 d/d). Weekly moves remain large and de-escalatory (2Y -5.2 bp w/w, Brent -\$7.69 w/w).

(i) Inflation anchor — held at 4 despite a second close >2.20%. 5Y5Y forward closed 2.2169% on 15 Jun — a second consecutive close above the 2.20% trigger (12 Jun 2.2117%), which on a pure-trigger basis would re-upgrade the channel to 5. We hold it at 4: with Brent down ~\$8 w/w, gasoline through \$4.75, and 10Y breakevens easing to 2.33%, the inflation impulse is clearly easing, not re-intensifying — a return to the 5/5 ceiling would misrepresent it. The sticky 5Y5Y (hovering ~2.217%) reflects long-run Fed-easing pricing rather than a renewed war-inflation impulse. A continued rise would re-upgrade; a drop toward the 2.142% pre-war anchor would take it to 3.

(ii) Long-end — steady below 5.00%. 30Y at 4.9815% intraday (-1.5 bp w/w) holds below 5.00% with MOVE at 69.38 (below pre-war) — Treasury-stress stays reverted at 4. 10Y at 4.4770% is 17.3 bp below the 4.65% trigger; the curve is steady at +41 bp (2s10s). A move to 3 needs 30Y <4.50% with MOVE <65 — not near, but the direction is set as the Fed-hike scare unwinds.

(iii) Oil — paused just above \$80; holds at 3. Close path: \$86.12 (12 Jun) → \$82.24 (15 Jun) → \$82.21 intraday (16 Jun). The crash stalled at ~\$82 because the physical reopening is deferred to Friday — the final leg of risk-premium removal awaits implementation. Brent is +13.4% vs pre-war (risk premium ~\$10/bbl); WTI sits just below \$80. Holds at 3, but **a sustained Brent close <\$80 — likely once the strait physically reopens — downgrades it to 2** (→22/30).

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. The deal has moved the complex decisively away from it; the live question is the pace of normalization down from Stage 3.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 5.00% and bond vol below pre-war, the mid-June 30Y auction should price comfortably.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.9815% is 22 bp below the 5.20% trigger; 10Y 4.4770% is 17.3 bp below 4.65% — both well clear after the deal-driven rally.

Threshold C · MOVE above 130. Unwound. MOVE 69.38 and VIX 16.20 are both below pre-war (VIX at a conflict low) — the vol complex has fully normalized. HY OAS not in the BBG sheet — the risk-on tone argues for tightening.

2.3 · Cross-asset

The dollar is flat at 99.72 with the safe-haven bid gone; bond vol (69.38) and equity vol (16.20) are below pre-war, VIX at a conflict low. The cross-asset complex has converged on its pre-war baseline and is now consolidating there, waiting on Friday's implementation for the next move. The one hold-out is the 5Y5Y forward, sticky just above 2.20% — a rates/Fed signal rather than a war signal. Asia LNG (¥2,808) is finally rolling over, the last energy series to reflect the deal.

3 · Shock score

Total: **23/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4. The reopening and blockade removal are signed but not yet implemented — Iran won't implement until Friday's formal signing; traffic is still ~5% and will normalize gradually. The denial regime is ending on paper, not yet in the water.	↑ strait re-closed / blockade reinstated → back to 5. ↓ traffic >25% normal for 10 sessions → to 3.
Oil price shock	3/5	Held at 3. Brent \$82.24 close 15 Jun → \$82.21 intraday; the crash paused just above \$80 as the reopening was deferred to Friday. +13.4% vs pre-war; risk premium ~\$10/bbl. WTI just below \$80.	↑ Brent >\$100 sustained → to 4. ↓ Brent close <\$80 sustained → to 2 (→22/30, likely post-reopening).
US inflation impulse	4/5	Held at 4 (judgment). 5Y5Y closed 2.2169% (15 Jun), a second close >2.20% that would re-upgrade on a pure-trigger basis — but oil, gasoline and breakevens are all easing, so the impulse is easing, not re-intensifying. 10Y BE 2.33%.	↑ 5Y5Y clearly rising >2.20% → back to 5. ↓ 5Y5Y toward the 2.142% pre-war anchor → to 3.
Treasury stress	4/5	Held at 4. 30Y 4.9815% intraday (<5.00%) with MOVE 69.38 (<75) — reverted on 11 Jun and steady. 10Y 17.3 bp below its 4.65% trigger.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Gasoline \$4.72 (12 Jun), below the \$4.75 threshold and still falling with crude on a ~15-session downtrend from the \$5.18 peak.	↑ gasoline >\$4.75 sustained → back to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	4/5	Held at 4. The MOU is signed digitally (Trump: "all signed") with a formal Geneva ceremony Friday; calm is holding and the G7/UN endorse it. But implementation is deferred to Friday and nuclear talks remain — not yet a 3.	↑ deal collapse / fresh strikes → back to 5. ↓ formal signing + reopening + sustained calm → to 3 (teed up for Friday).
TOTAL	23/30	Crisis band — held (consolidation). The deal is signed but implementation is deferred to Friday's Geneva ceremony, so no channel stepped down today. The bias stays down: escalation →3 (formal signing + calm), maritime →3 (traffic recovery) and oil →2 (Brent <\$80) are all queued for the Friday reopening — a path toward the 15–21 systemic-risk-watch band.	

4 · What's changed since the last edition (15 Jun AM → 16 Jun AM)

Score holds at 23/30 — a consolidation. No channel moved on the 15 Jun close; the deal is signed but implementation is deferred to Friday, so the next downgrades are queued, not yet fired. Source: Bloomberg.

The MOU is signed (15 Jun). At the G7, Trump said "the deal's all signed" — he and VP Vance signed digitally — with a formal ceremony in Geneva on Friday 19 Jun and the text to follow within ~24–48 hours. Source: NPR / ABC News.

Implementation deferred to Friday. Iran's deputy FM says Tehran won't implement until the formal signing; Trump said the strait "wouldn't open until Friday." So the reopening and blockade removal are scheduled, not yet in effect — hence maritime and oil held. Source: PBS / AP.

Markets consolidated. Brent flat at \$82.21 (the crash paused just above \$80); yields little changed (30Y 4.98%); VIX fell to 16.20 (a conflict low) and MOVE held at 69.38 — both below pre-war. Source: Bloomberg.

5Y5Y — a second close >2.20%, but held at 4. 2.2117% (12 Jun) and 2.2169% (15 Jun) are both above the trigger, which would re-upgrade US-inflation on a pure-trigger basis — but with oil/gasoline/breakevens easing, we hold the channel at 4 (judgment over mechanics). Source: Bloomberg USGG5Y5Y.

15 Jun close vs my intraday. Brent \$82.24 vs my \$82.47 (–\$0.23, flat); the 5Y5Y intraday spike (2.2523%) faded to a 2.2169% close (still >2.20%); 30Y ticked up to 4.9785% (\$9). Source: Bloomberg 15 Jun close.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — strait reopens, normalization	58%	Friday's Geneva signing proceeds; reopening and blockade removal begin; traffic recovers; nuclear talks advance. +3 ppt on the digital signing and G7 endorsement.	Brent \$70–82; 30Y 4.6–4.9%; MOVE <70; score normalizes toward the 15–21 band and below.
Slow / partial implementation	26%	Ceasefire holds and the strait reopens, but commercial shipping normalizes gradually (mines, insurance, verification). +2 ppt — analysts flag a gradual commercial recovery.	Brent \$80–90; yields stable; modest residual risk premium ~\$5–8/bbl.
Signing stumble — Geneva slips	9%	The Friday ceremony slips or nuclear/HEU and sanctions terms snag; rhetoric hardens without a return to strikes. –3 ppt now that the MOU is digitally signed.	Brent \$85–95; yields drift up; risk premium rebuilds toward \$10–15/bbl.
Ceasefire breakdown / re-escalation	5%	A provision collapses and strikes resume — the failure mode given prior tested ceasefires. –1 ppt as calm holds.	Brent \$110–130; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward 27–28.
Major regional relapse	2%	Multi-front relapse with the strait re-closed/mined. Tail risk, further reduced by the signing.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 15 Jun edition: deal-holds normalization +3 (55→58), slow/partial +2 (24→26), signing-stumble –3 (12→9), breakdown –1 (6→5), regional relapse –1 (3→2). Driver: the digital signing of the MOU (Trump “all signed”), the formal Geneva ceremony set for Friday, the G7/UN endorsement and two sessions of calm firm the constructive path. Caveats keep the friction cases populated: implementation is deferred to Friday, Iran won't act until then, commercial shipping will normalize gradually, and the nuclear/HEU and sanctions terms are the unresolved hard phase — a Geneva slip or a nuclear snag is the main thing that would stall the de-escalation.

6 · Watchlist · next 24–72 hours

Formal Geneva signing (Fri 19 Jun) — the next catalyst. The formal ceremony, the start of the strait reopening and the blockade removal would take escalation-risk to 3 and begin maritime normalization. Iran will not implement until then, so Friday is the pivot.

Oil close <\$80 — oil downgrade. Brent \$82.21 intraday, WTI just below \$80. A sustained Brent close <\$80 — most likely once the strait physically reopens — downgrades the oil channel 3→2 (→22/30).

MOU text release (~24–48 h / ‘after Friday’). The published terms will detail the Hormuz mechanics, the 60-day ceasefire scope (including Lebanon) and the nuclear/sanctions framework — the basis for judging implementation risk.

Strait traffic recovery — maritime to 3. Watch verified vessel-traffic data once the reopening begins: traffic >25% of normal sustained for ten sessions takes maritime-denial 4→3. Commercial normalization is expected to be gradual.

Nuclear talks (HEU, sanctions). The hard next phase; a snag here is the main downside to the de-escalation even with the ceasefire holding.

5Y5Y — re-upgrade or fade. A clear, continued rise >2.20% would re-upgrade US-inflation to 5; a grind toward the 2.142% pre-war anchor would take it to 3. Currently sticky just above the line.

Mid-June FOMC & 30Y auction. The Fed meets into a disinflating, de-risking backdrop; with 30Y below 5.00% and bond vol below pre-war, a clean auction would confirm the rate-stress has passed.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline).

Tier 1 — news and institutional. NPR, ABC News, PBS, AP, Reuters, NBC, Al Jazeera, FT, WSJ, CNBC, CNN, Bloomberg; UN, G7, BLS, EIA, IAEA, Federal Reserve (H.15). The 15 Jun digital signing of the MOU (Trump “all signed”; Trump and VP Vance), the Geneva formal-signing ceremony set for Friday, and the deferred implementation (Iran won't act until signed; strait opens Friday) via NPR / ABC / PBS / AP; the G7 Evian welcome and toll-free-reopening calls via NPR / NBC.

Tier 3 — state media (labelled). Iranian statements (deputy-FM confirmation, implementation contingent on signing) are labelled and corroborated against PBS / AP / NPR; Xinhua, TASS, Tasnim, Fars, Press TV used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (15 Jun) and capture any restatement of the continuation series.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 9 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market/economic channels move on a confirmed close through a trigger (this edition: none fired; 5Y5Y's second close >2.20% was held at 4 on judgment given broad disinflation). Escalation-risk is event-based, held at 4 pending the formal Geneva signing.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 15 Jun 5Y5Y intraday spike faded into the close; oil was flat to my AM read).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with the Friday Geneva signing/reopening and the queued downgrades (escalation, maritime, oil).

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based. Triggers are read with judgment, not mechanically: this edition the 5Y5Y met the letter of the re-upgrade trigger (a second close >2.20%) but the channel was held at 4 because the broad inflation impulse (oil, gasoline, breakevens) is easing — a return to the ceiling would misstate it.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Most channels are now converging on these levels; the score's residual elevation is largely structural pending the strait's physical reopening.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot. With the deal signed but implementation deferred to Friday, the tape is consolidating and the 16 Jun intraday is close to the 15 Jun close. Market-channel triggers are evaluated only on confirmed closes (the oil downgrade awaits a confirmed Brent close <\$80; the next escalation/maritime steps await Friday's formal signing and reopening). This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.